



Comments received by Verra during the public comment period 04 December 2023 – 03 January 2024 for the VCS pipeline listing (under validation) and CCB validation of the Ateles REDD+ Project (project ID 4689)

CCB Standards v3.1 Edition

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Comment 1

Date: 02 January, 2024

Sent by: nbs@nbsbrazilalliance.org

Organization: Nature-based Solutions Brazil Alliance

Country: Brazil

Comment:

“Submitted to: Verra

Project under public consultation: Ateles REDD+ Project (ID 4689)

Date: January 2, 2024

Public consultation response

The Nature-based Solutions Brazil Alliance aims to promote and stimulate an agenda to discourage deforestation and forest degradation through the creation of guidelines and good practices, generating a safe and reliable business environment. The NBS Brazil Alliance appreciates this opportunity to share input on the Ateles REDD+ Project. The open consultation process and the possibility to participate actively is an opportunity to improve the integrity of the carbon credits. As a non-profit association with 28 members including Agrocortex, Bioassets, Biofílica, Biofix Consultoria, Biomas, BMO Radicle, BR Carbon, BVRio, Carbonext, Conservação Internacional, EcoSecurities, Ekos Brasil, ERA Brazil, Fundação Amazônia Sustentável, Geonoma, IDESAM, Impact Earth, Infrapar Sustainability, MyCarbon, Mombak, Redda+, Re.green, Rioterra, Systemica, South Pole, Sustainable Carbon, Volkswagen Climate-Partner and WayCarbon, it is great to see new carbon projects being developed.

The following aspects contained within the Project Description were observed:

Methodology and Baseline



General scope: Studies to estimate carbon stock, determine baseline, socioeconomic and biodiversity diagnosis, efficient management of the entire project life cycle, situational alignment and feedback with communities, monitoring of proposed activities to mitigate risks and ensure continuous improvement of activities. The Ateles REDD+ Project will result in a total of avoided emissions of 32,121,834 tCO₂eq, from avoided deforestation in 88,489 hectares (average of 803,046 tCO₂eq/year). During the first 10 years of the Project, deforestation is avoided on 12,631 hectares and results in a reduction of 3,809,086 tCO₂eq in emissions, an average of 380,908 tCO₂eq/year.

Climate scope: Structuring monitoring activities within the farm, training surveillance teams to contain deforestation and invasions. Remote monitoring throughout the farm area and surrounding areas using satellite images to assess deforestation pressures and critical points to strengthen surveillance.

Biodiversity scope: Monitoring fauna and flora in the project area, monitoring the abundance of domestic animals and their effect on local biodiversity, assessing livestock predation through mapping the predation that occurs on the farm and its main causes. The Project Area is located in the Tapajós Center of Endemism, a region with a high concentration of rare and endemic species.

Social scope: Strengthening local governance, encouraging mutual trust, empowerment of a group of vulnerable people, representation and equality in decision-making. Development and strengthening of value chains to improve socioeconomic conditions and community well-being, with activities that encourage food security, autonomy and resilience provided by the development and strengthening of local production chains. Enable food security combined with diversification of income sources, strengthening the value chain and forest conservation through the strengthening of sustainable agricultural practices. Improve the socioeconomic conditions and well-being of the community through actions that facilitate the obtaining of safe land and improvement of basic services for the population.

There are no significant differences at a methodological level;

Leakage prevention actions could be detailed;

The project did not present a financial analysis of additionality, which makes the process of verifying the project's additionality more difficult.

Approach b) "Time function approach" was adopted. This approach is justified by the project as there was a slight drop in the deforestation rate after 2019, in the last three years of the series, however, it still remained above the average for the period from 2013 to 2019. In addition, a simple regression model was adjusted to deforestation of the historical series, indicating a certain upward trend in annual deforestation rates.

The deforestation projection is quite different from the observed deforestation, and the R² of the regression is low (73%), but appears to be conservative. The rate is 2.1% per year. The project estimates the generation of 3,305,981 marketable VCUs in the first 10 years, an average of 330,598 marketable VCUs. The carbon stock estimate is coherent and was obtained through



an on-site inventory. The estimates of changes in the carbon stock are also coherent, however, the project does not demonstrate how the calculation and deduction of wood products in the baseline is carried out.

Ownership and Project Proponents

Project Proponents: Biofíllica Ambipar Environmental Investments S.A; AgroSB Agropecuária S.A.

Other Entities Involved: Ambiens Soluções Ambientais; Instituto Peabiru; Biodendro Consultoria Florestal LTDA
Direito de comercialização de créditos: Biofíllica Ambipar Environmental Investments S.A

AgroSB is the legitimate owner of Fazenda Lagoa do Triunfo, comprising Lagoa do Triunfo I to VI and Nova Caracol. They were acquired through deeds and purchase and sale contracts, documents that guarantee ownership of the properties. In addition to the deeds, registrations are attached to the PD, which present the property registry and the descriptive memorial of the properties. Other official documents will also be presented, such as the Rural Property Registration Certificate (CCIR) and Certificates from the Pará Land Institute 2 (ITERPA), which prove that the definitive titles of the lots that make up the farm are in the process of being obtained. Fazenda Lagoa do Triunfo is made up of 14 properties certified and registered with the property registry office. All have a descriptive memorial and georeferencing in accordance with Law 10.267/0140. AgroSB does not yet have the definitive titles for the properties, however, in accordance with State Law No. 4,584, of October 8, 197541, AgroSB Agropecuária SA has the ITERPA Certificates for the lots that make up the properties, recognizing the validity of the titles of Earth.

There are some ongoing disputes in the lots that make up the Ateles REDD+ Project. These are, for the most part, public civil actions and adverse possession requests. All of them are ethically monitored by AgroSB's legal department. As for the complaints, according to the legal negotiations undertaken by AgroSB, the risk of property loss is remote. Furthermore, AgroSB guarantees all documentary means of ownership and use of these areas, which allows these specific conflicts to be resolved in a legal, transparent and safe manner.

As for the public civil actions in progress, these are actions for material and collective environmental damage, which are being taken with due legal measures and in half of the cases there is a remote chance of AgroSB losing the action. Furthermore, as mentioned in Section 2.5.1, the areas that are in legal proceedings that cannot yet be considered resolved were disregarded in the composition of the Project Area.

Local Stakeholder Consultation and AFOLU-Specific Safeguards

There was consultation with stakeholders based on the Socioeconomic Diagnosis of the Region of the REDD+ Ateles Project, developed by the Peabiru Institute, which consulted settlers and AgroSB employees living in the Lagoa do Triunfo Farm areas. 49 AgroSB employees and 21



settlers were consulted. Apparently, other stakeholders such as public institutions (city halls, municipal departments, etc.), NGOs, associations, among others, were not consulted.

"With regard to social and biodiversity activities, it is guaranteed that no activity will be carried out without the free, prior and informed consent of the parties involved." However, it appears that no FPIC has been applied to date.

Section 4.5.6 - Benefit Sharing Mechanisms is listed as "not applicable", although it is necessary to detail the benefit sharing criteria and procedures, especially in the context of payments for environmental services.

Section 2.1.18 - Risks to the project are only listed as "under development", with insufficient information on risks, impacts and mitigation.

Other Comments

1) TdM biodiversity axis: Biodiversity monitoring aims to: "Evaluate the responses of populations and ecosystems to conservation practices through a REDD+ project and the impacts of external factors, such as habitat loss, changes in the landscape, overexploitation of species and climate change." It is unclear how this will be done and how the community will be engaged in this process;

2) Long-term objectives in the biodiversity axis: conservation of threatened species, conservation of HCVs, landscape connectivity. It is unclear how this will be done;

3) Health precautions with domestic animals: How to monitor the effect of domestic animals on wildlife? How is this linked to the theory of change and the weaknesses identified in the field?

4) Assessment of livestock predation: "Although no traces of hunting activities were found, we understand that the relationship between interested parties and the jaguar could become conflictual due to the financial losses caused by predation." If hunting was not identified, how relevant is this action to the project?

5) TdM community axis: How will payment be made for environmental services? How will the amount allocated to each family be defined? Who will be the beneficiaries? How to avoid conflicts resulting from this action?

6) Start Date: "Time of formalization of the partnership agreement between AgroSB Agroécuaria S.A. and Biofílica Ambipar Environment." Which action resulted in emissions reductions and what is justified in the Start Date?

7) Item 3.1.3.1.1 says: "Policies and regulations applied: The Project Area is governed by the same laws and regulations applied throughout the Reference Region." However, the RR is not composed of other APAs. Perhaps, from a legal point of view, this similarity criterion could have been observed.



The NBS Brazil Alliance appreciates this important opportunity to record our comments. We welcome the project proponents to reach-out directly with any questions or follow-up requests related to the comments shared above by contacting NBS Brazil Alliance, at nbs@nbsbrazilalliance.org.”

Comment 2

Date: 01 January, 2024

Sent by: Unknown

Organization: Unknown

Country: Unknown

Comment:

“The KML listed in the documents does not correspond to the area described in the PDD. The proponent should request a new public hearing only after the correct KML is loaded into the Verra documents, as there is currently no way to analyze the project accurately.”